

Q3 2024

Custom Managed Portfolios

Sionna Investor Managers Canadian Equity

Quick facts

Asset class:
Canadian Large Cap

Management style:
Value¹

Number of holdings:
32

Sub-advisor:
Sionna Investor Managers

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 1, 1997



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	8.88%	14.00%	21.10%	13.32%	10.99%	8.37%	8.53%
Benchmark ⁵	10.54%	17.22%	27.03%	9.59%	10.99%	8.11%	8.03%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	10.82%	7.43%	22.16%	- 0.15%	18.55%	- 9.89%	10.53%
Benchmark ⁵	12.02%	- 5.86%	25.09%	5.59%	22.88%	- 8.89%	9.10%

Standard deviation	8.57%	Sortino ratio	0.94	Downside capture	94%
Sharpe ratio	0.81	Beta (Equity)	0.87	Upside capture	87%

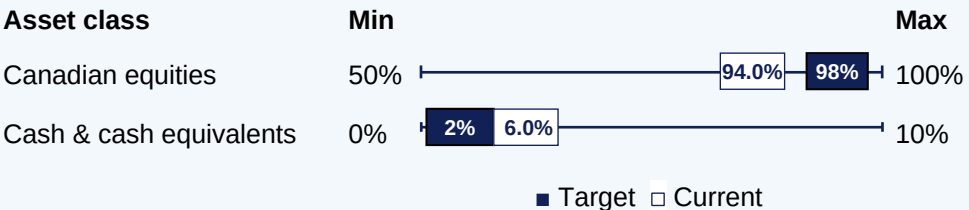
Largest holdings

1. TORONTO DOMINION BK	7.6%	6. AGNICO EAGLE MINES LIMITED	4.3%
2. ROYAL BANK OF CDA	7.3%	7. MANULIFE FINL CORP	3.6%
3. BK OF NOVA SCOTIA	5.8%	8. ARC RESOURCES LTD	3.3%
4. SUNCOR ENERGY INC NEW	5.5%	9. NUTRIEN LTD	3.3%
5. FAIRFAX FNCL HLDGS LTD	4.7%	10. CANADIAN PAC KANS CITY LTD	3.2%

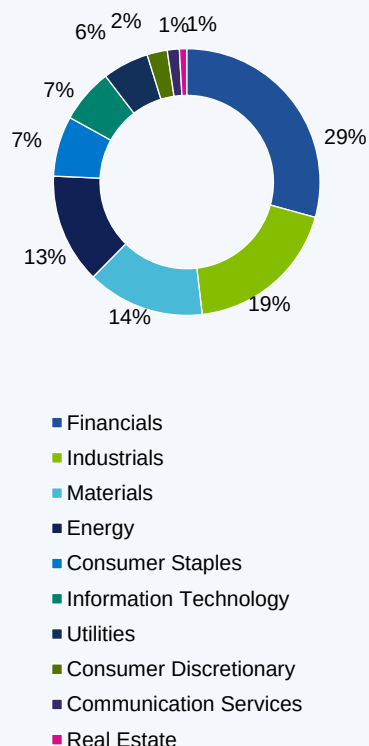
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
3.17%	18.17	12.19	2.34	5.20	\$63.69 B	26%

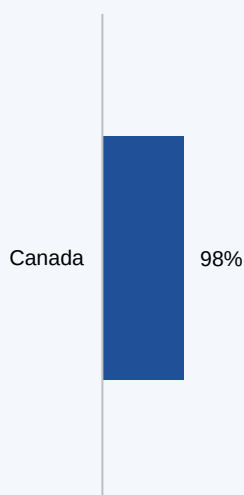
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Sectors that Moved the S&P/TSX Composite Index this Quarter

The S&P/TSX Composite Index increased by 10.5% on a total return basis over the quarter. All sectors were positive for the Index this quarter as the market embraced a risk-on approach on the back of interest rate cuts from many of the world's major central banks. The Canadian Banks were clear outperformers as the pivot in central bank policy will take some pressure off the consumer in the near term. The materials sector continued its outperformance from last quarter, largely due to the precious metal miners, which have seen strong performance on the back of continued strength in the price of gold. The utilities, real estate and communication services sectors performed well due to their sensitivity to interest rates. These sectors typically employ more leverage, thus when interest rates come down, it acts as a tailwind to earnings as financing costs also come down. Specifically, utilities and telecommunications companies tend to benefit from lower interest rates due to their above-average dividend yields and the stability of their underlying cash flows. Investors tend to view these sectors as "bond proxies", and as rates in fixed income markets have come down, yield-oriented investors have rotated into those sectors as of late.

Factors Contributing to the Model's Performance

Our lack of exposure to Canadian Natural Resources contributed to Sionna's relative performance this quarter. Like many names within the energy sector, it was impacted by volatility in the price of oil. While we continue to monitor this company, we believe there are more attractive opportunities elsewhere in the energy sector at this time. iA Financial is the fourth-largest life insurance company in Canada. It is a conservatively run, Quebec-based company that also owns one of Canada's largest networks of non-bank-affiliated financial advisors. The stock price increased over the quarter after the company reported strong results across its Canadian insurance and wealth management segments. Its U.S. operations began trending in the right direction also. The company has a demonstrated track record of investing in niche areas of the insurance industry, such as segregated funds and vehicle warranties, which has allowed it to generate attractive historical returns and steady book value growth. The company continues to have attractive valuations and a yield of about 3%. Agnico Eagle Mines (Agnico) is a gold producer with operations in Canada, Australia, Finland and Mexico. It appears to us that Agnico's CEO has taken the opportunity to 'reset street expectations' and continue its historic mindset of 'under-promising and over-delivering' with future guidance. With mines located in stable jurisdictions with rule of law, we believe Agnico's assets will command a widening premium valuation over its peers in the years ahead. Agnico's development-rich opportunities require management to remain focused on the pace of its capital expenditures and rank top projects for returns to unlock this value for shareholders.

Veren is a leading Canadian energy producer focusing primarily on light oil and condensate production in central Alberta and southern Saskatchewan. Like many energy companies this quarter, Veren experienced weakness due to volatility within the energy space overall. We believe the management team has transitioned its development portfolio to long-life assets with over 20 years of premium drilling locations. With a current focus on debt repayment and shareholder returns, we envision management will re-evaluate capital returns tilted towards shareholders once debt targets are met. The company is trading below our estimate of its intrinsic value, and we believe management is focused on transferring wealth to shareholders over time.

NuVista is an energy company engaged in the exploration, development and production of oil, condensate and natural gas reserves in Western Canada. The company's stock price decreased this quarter largely due to volatility within the energy space overall. NuVista represents a rare combination of value, significant production growth, rapid debt deleveraging and the ability to return capital to shareholders. An ESG leader, NuVista has reduced GHG emissions (scope 1) by more than 50% since 2012, while targeting an additional 20% (scope 1 and 2) by 2025, all while growing production. Suncor Energy (Suncor) detracted from performance as energy prices experienced volatility this quarter. Suncor is a large integrated oil and gas company involved in exploration and production, oil sands, and refining and marketing. Suncor has a diversified portfolio of assets and a management team focused on continually improving operations and maintaining a strong financial position. We continue to believe the shares are attractively valued and the company is positioned well over the long term.

The foregoing reflects the thoughts, opinions and/or investment strategies of Sionna, which are subject to change at its discretion and without prior notice, based on changing market dynamics or other considerations. Indices are unmanaged and cannot be directly invested into. Securities mentioned herein are not to be construed as a recommendation to buy or sell. Past performance is not a reliable indicator of future results.

Investment manager overview

Sionna Investment Managers use a value approach to manage assets on behalf of institutions (including foundations, endowments and pensions) and private clients. Their team builds quality portfolios from the bottom up to manage risk and help our clients achieve their goals. While they are methodical in their analysis, there is nothing dogmatic about Sionna's investment approach. They believe that value investing is a craft. It takes discipline and patience. It is the foundation on which Sionna has grown.

Investment philosophy

Sionna practices classic Graham and Dodd value investing with a relative value overlay. They believe stocks are mispriced because of human behaviour – not the true condition of the company and actively seek underappreciated or overlooked companies that trade for significantly less than their true value. They also strive to build and protect capital by:

- Building a portfolio of mispriced companies and waiting for them to appreciate to their intrinsic value
- Investing in dividend-paying companies, so we can earn additional returns while we wait for that to happen
- Investing in earnings machines

To be successful over the long term, this process requires inquisitive minds, good judgment, and a passion for investing.

Investment process and risk controls

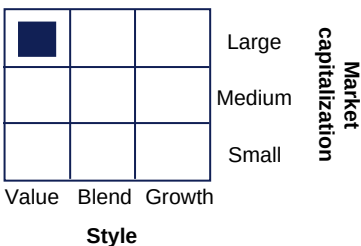
Value: A Bottom-up Approach to Investing

Sionna assesses the value and quality of individual companies from the bottom up. They:

- Opportunistically invest in good businesses when they are temporarily undervalued
- Identify candidates through comprehensive fundamental analysis by:
 - Getting behind the numbers
 - Understanding business fundamentals
 - Assessing management quality

Sionna specializes in a relative value method. History informs this process: they believe stock prices revert back to their mean (intrinsic value) over time. When determining the value of an individual company and whether a stock is undervalued, they consider where it has traded historically relative to the overall market and other names in the **sector**.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Value investing is an investment strategy that involves picking stocks that appear to be trading for less than their intrinsic or book value

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is S&P/TSX Composite TR Index

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